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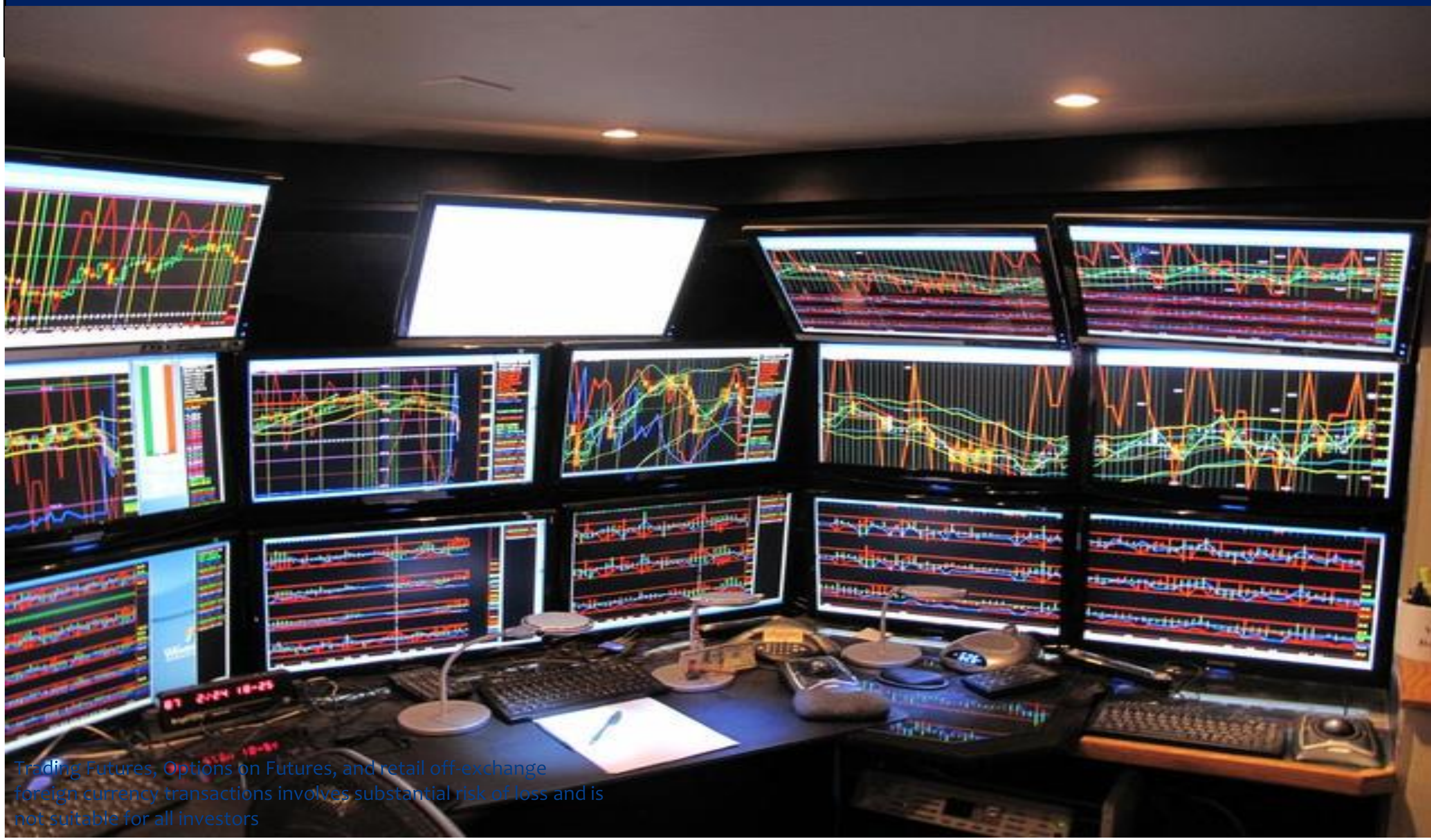
INTRODUCTION TO

SCALPING

By MARCO BERTUGLIA



RISK DISCLAIMER

Trading Futures, Options on Futures, and retail off-exchange foreign currency transactions involves substantial risk of loss and is not suitable for all investors. You should carefully consider whether trading is suitable for you in light of your circumstances, knowledge, and financial resources. You may lose all or more of your initial investment. Past performance is not indicative of future results.

INTRODUCTION TO

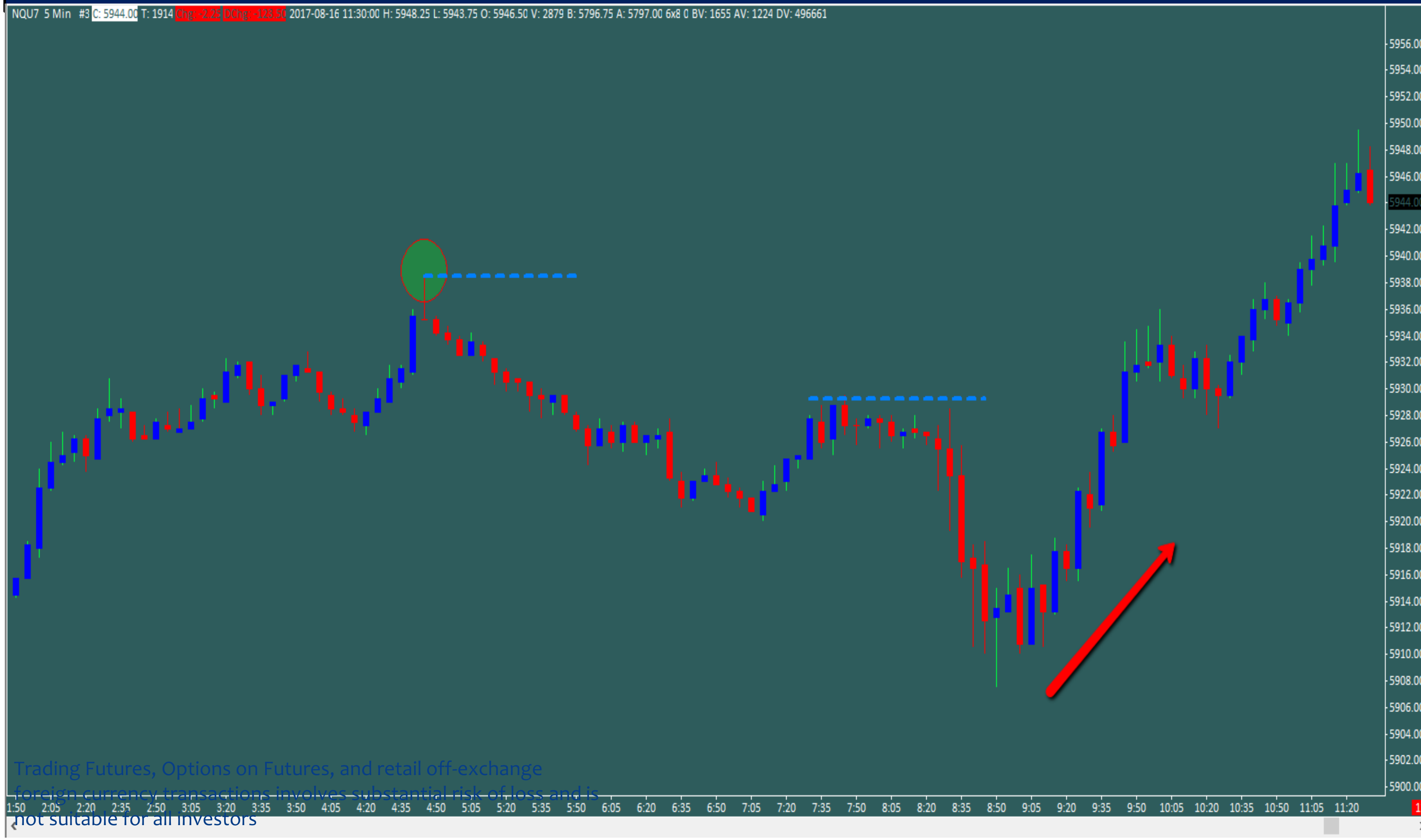
SCALPING

Coaching offered in collaboration with Savius (www.saviusllc.com).

WHAT MOVES PRICES INTRADAY?

Trading Futures, Options on Futures, and retail off-exchange foreign currency transactions involves substantial risk of loss and is not suitable for all investors

YOU COULD SAY, DEMAND/SUPPLY FUELED BY NEWS…



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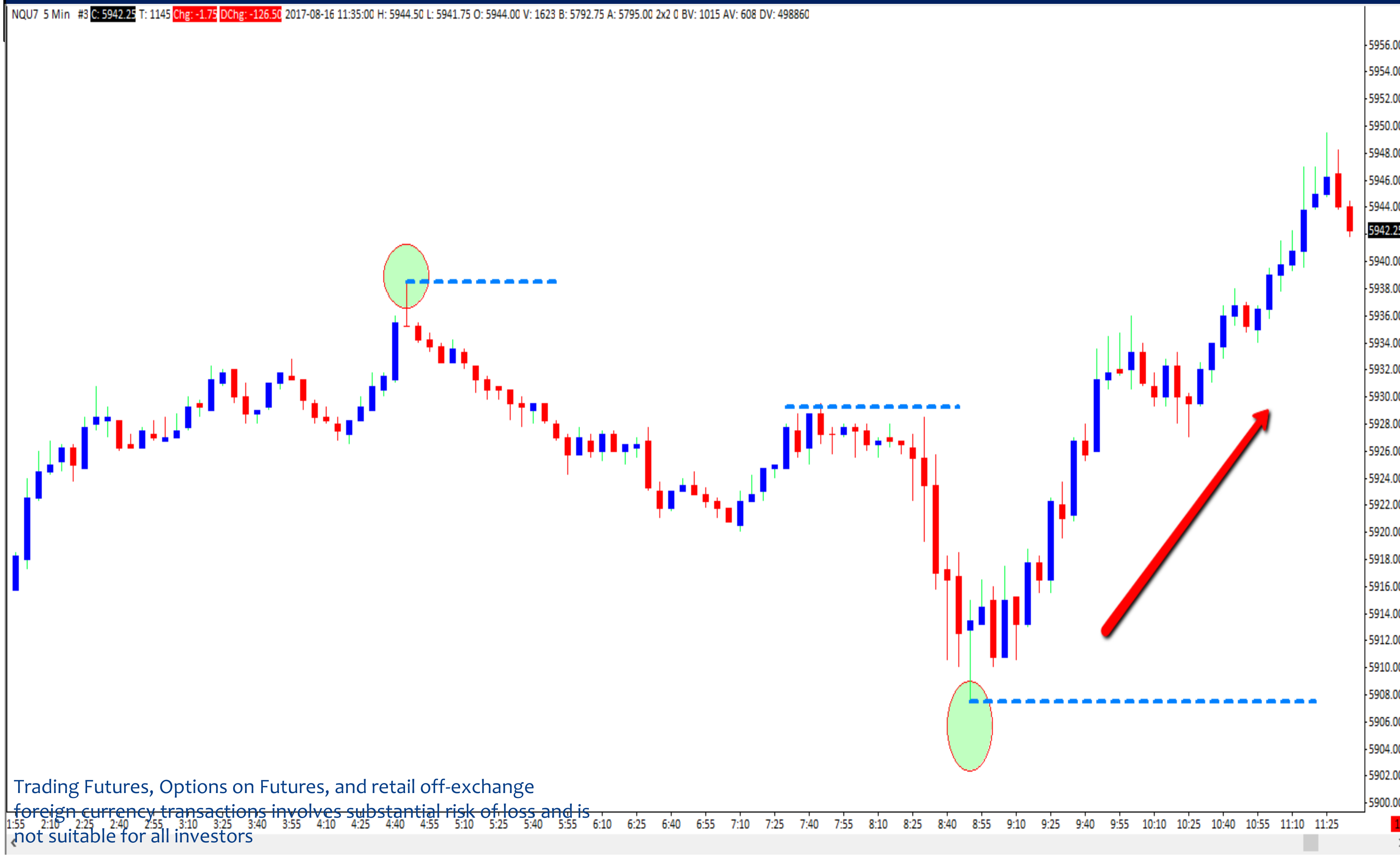
THE TRUTH IS THAT NO NEWS CAN CHANGE AND FLIP-FLOP THIS OFTEN.THESE MOVES ARE DRIVEN AND NOT REALLY MOTIVATED BY SUPPLY-DEMAND.



PRELIMINARY CONSIDERATIONS

Note: this presentation will touch on the basics of ***Order Flow*** and scalping trading. We will discuss market action dynamics and provide our insight as well as offer some basic scalping strategies.

The techniques included in this guide need to be further studied, back-tested and forward-tested before you can trade them live. If you wish to move beyond this and become a professional Scalper, please contact us and we will assist you from there.

For now, this guide should offer you a pretty solid foundation and show you some effective set-ups that you can start testing and using on a simulator right away. Successful scalping requires, in fact, a different set of skills and a lot of time spent in front of your monitors.

PRELIMINARY CONSIDERATIONS

The current high volatility environment caused in part by the FED aggressive monetary policy, recent global macro events, and by the price action ("noise") created by HFTs and other Algorithmic programs (Algos) has forced many retail traders to adapt. In particular, those able to adapt have chosen primarily one of the 3 following paths:

a) **Increase the time frame of reference**, hence focusing on fewer **set ups**, away from the current trading range (especially for a momentum/ break out trade)

b) Focus exclusively on the **most trending markets** (such as Crude oil)

c) Engage primarily **in Scalping Trading**.

Both a) and b) usually require larger capital and risk than you may be currently using while scalping does not. When you scalp, you no longer avoid the noise, you learn how to take advantage of the noise and basically become part of it.

DEFINITION

The term "Scalping" is very common among traders, especially after the rise in popularity of high frequency trading, however we feel that as a trading style it's often misused and misunderstood. Scalping is a very specific technique that requires its own separate study. Let's start by bringing some clarity. Below some introductory notes:

- Scalping is a form of High Frequency Trading that is commonly executed manually rather than by algorithmic programs.
- Scalping is a pretty general term but it usually means putting a **large size trade** for a **very short time** (seconds or minutes) and for a **fast profit** (3-5 ticks on average).
- Scalping focuses on "order flow" and the interaction between bid and offer dynamics and volumes.

DAY TRADING CHALLENGES

Given the recent increased volatility environment that has been affecting primarily equity markets, a day trader, in our opinion, has 2 main options to cope with the wild trading swings:

a) Automate or semi automate a set of predefined rules and be very selective with entry triggers (using a higher time frame or trend/bias filters);
b) Lower dramatically the time frame and focus her/his attention on micro accelerations of prices through a scalping methodology.

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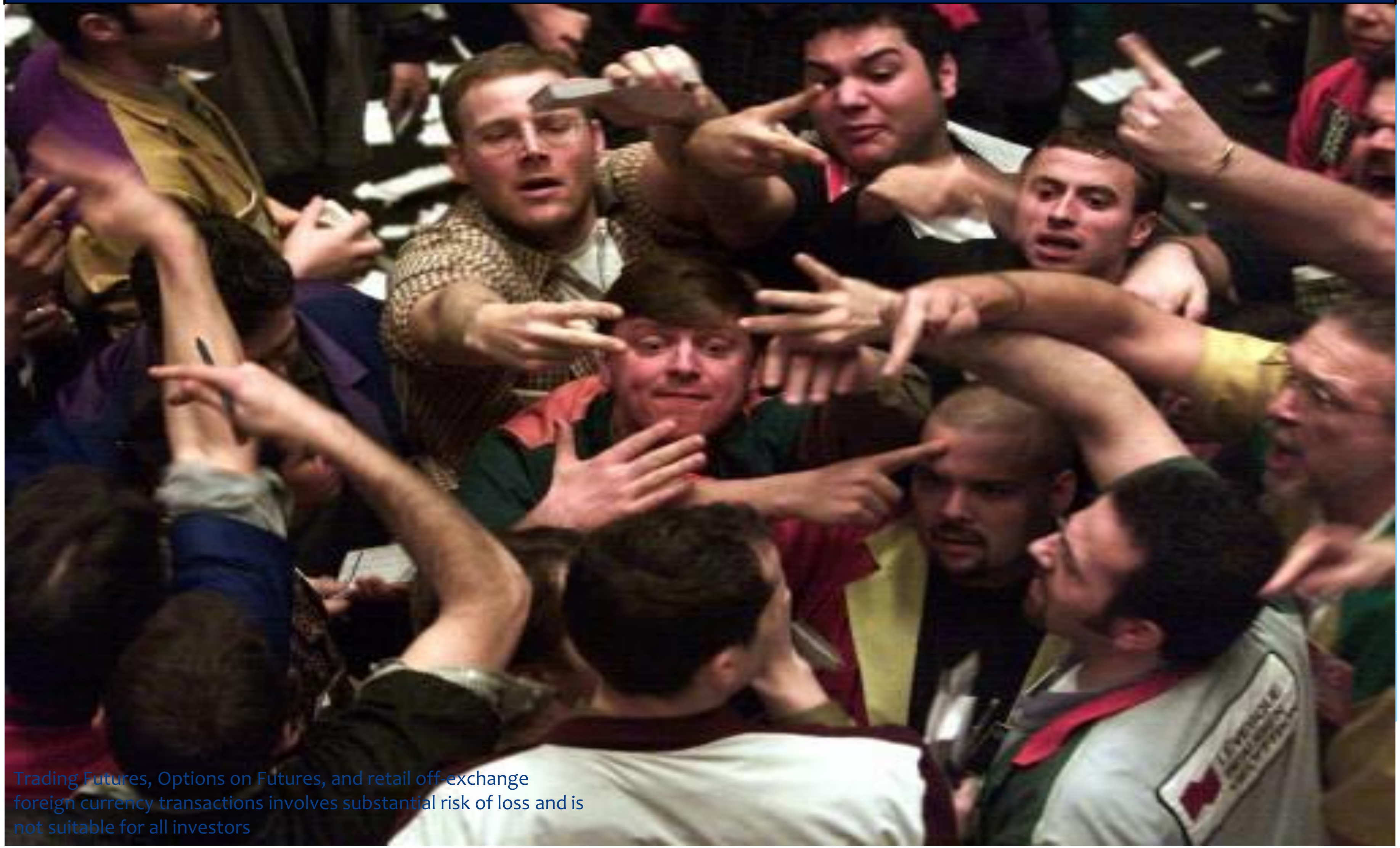
A BRIEF HISTORY



A BRIEF HISTORY

Scalping is nothing new or recent. It's been performed by the so called "locals" of the Nymex, CME or Ecbot floors since pit trading started (and other exchanges around the world). Now that pit trading is virtually gone and trading is mostly electronically executed, scalping has moved to the screens (traders off the floor). The only difference is the so called "edge" that successful former floor traders used to have and that now is no longer present or at least has changed in nature. This edge was especially in the hands of the biggest traders, those with the best pit location who could immediately see "paper" coming to the floor and therefore ***front run*** those orders. We want you to pay attention to this point because it's crucial and we will revisit it later.

THE PLAYING FIELD
The fight for liquidity

Have you ever wondered why sometimes the market stops you out of a position by 1 or 2 ticks? Or maybe it's falling hard, like the world is about to end, and then it stops and makes a V shape reversal out of nowhere? Or it shoots up through a crucial resistance level by a few ticks only to collapses shortly after?

The answer to all these questions it's the same: **price manipulation**.

We are not talking about a conspiracy theory or a master plot to purposely chase the retail traders out, we are simply pointing out a natural consequence of institutional players moving massive quantities through their fight for liquidity which invariably washes our most of the small traders.

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THE PLAYING FIELD

The fight for liquidity

The object of the scalping game run buy the big boys is making a large amount of money, in the shortest period of time and with the smallest possible exposure (risk). They achieve this by fighting for liquidity through ***constant price manipulation***.

LIQUIDITY

The big players will always seek out the biggest contracts in terms of volume. Liquidity is key for successful scalping, even though it's counterintuitive. Generally speaking, the less liquid the market, the easier to manipulate it and move prices. However, these players only need to move the market for a few ticks at a time and once they bought for ex. 3000 contracts they need to make sure they will be able to easily unload them higher (again keeping the smallest risk).

THE PLAYERS

You may be familiar with some of these concepts but we wish to revisit them because they are the key behind being able to scalp profitably.

The market is just a global playing field, it's like a giant soccer field where professionals are playing against each other and the retail traders are getting in the way and trampled… sure once in a while small traders manage to get the ball but overall they are playing a game that isn't under their control.

THE PLAYERS

The only way that you and I can participate without getting killed is by staying away from the same playing field (no trading inside the same range), sitting on the bench (ex. increasing the time frame) or acquiring the same (or similar) skills/tools they have.

- **BANKS AND OTHER INSTITUTIONS>** they have the deepest pockets; the biggest misunderstanding surrounding them is that they only trade on fundamental analysis and they only invest in the long term… not true at all. They are the biggest price action players of all (money moves markets).

- **PRIVATE PROFESSIONAL TRADERS>** under this category you will find big individual traders (see the infamous Paul "the flipper" Rotter) or large Prop-houses (HFT) around the globe (Chicago, NY, London, Tokyo, etc.).

THE PLAYERS

- **RETAIL TRADERS>** belongs to this group any private trader that generally trades anywhere from 1 to 99 lots per clip; when represented as an aggregate the combined retail's volume can be very significant but as individuals they don't have the clout or ability to move prices. Invariably retail traders get caught in the noise of the small range and end up being nothing more than collateral damage in the fight for liquidity.

THE ORDER FLOW

WHAT IS ORDER FLOW?

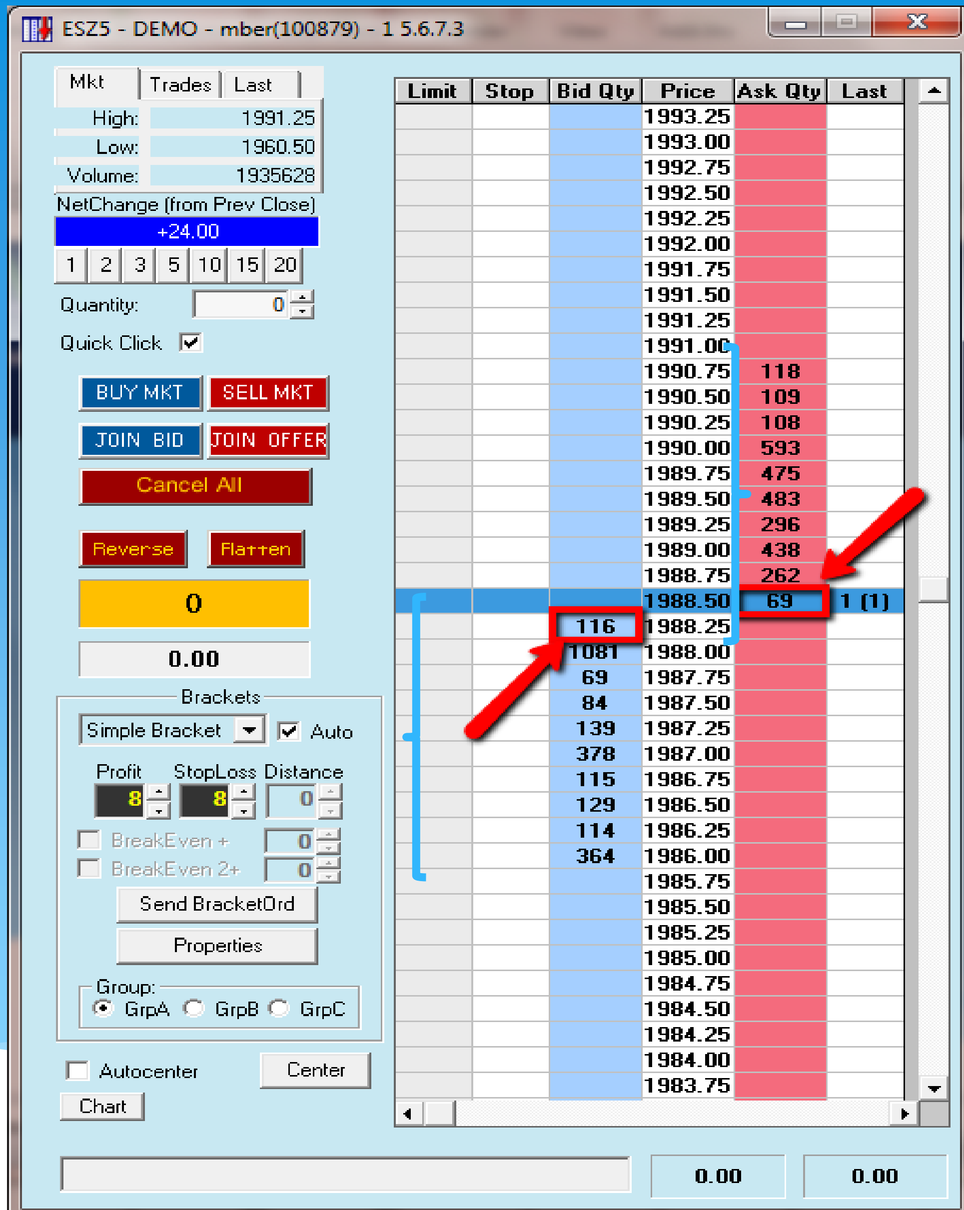
Scalpers don't usually use chart reading or technical analysis, they don't rely much on indicators or oscillators. At least not as their main decision tool (see later on section dedicated to filters and confirmations). In reality, most professional scalpers focus on price action. This is very true for professional Prop-traders and big players, who primarily devote their attention to the interactions between bid and offers and relative volume shifts. You have heard before that indicators and charts tell you, for the most part, what happened in the past. They offer a statistical reference point (pattern based) to help you make a prediction of future price movement.
This is not true for order flow. Order flow gives you the "now", the price action that is happening right in front of your eyes in this particular moment.

BEHIND THE CURTAIN

WHAT IS HIDING BEHIND ORDER FLOW?

A very important factor in scalping and order flow reading stems from the ability to successfully interpreting the information that is appearing on your screen right now.

In order for you to being able to effectively read price action (or lack thereof), it's crucial that you are first familiar with the basic dynamics of a *depth of market window* (also called *order book* or *vertical ladder*). Most traders don't have access to the entire depth of market but most liquid markets offer a 10 level depth view (10 best bids and 10 best offers).
See next window (Infinity AT DOM).



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BEHIND THE CURTAIN

We are not going to delve too much on the basics of price action and the interaction between bid and offer. It's important instead that you are aware that what you see is not the entire and true market picture.

SPOOFING AND ICEBERGS

There has been a lot of talk in recent years about some questionable and often illegal price manipulations, purposely created by large players with the objective of creating an altered market reality. Price manipulation happens at very many different levels and it's not per se illegal. Spoofing however, has been labeled as such because of the deceitful intent and consequences it causes. Spoofing is not other than placing large working order quantities in the market with the goal of luring in buyers or sellers in a specific market direction (basically a trading ambush). See next slide.

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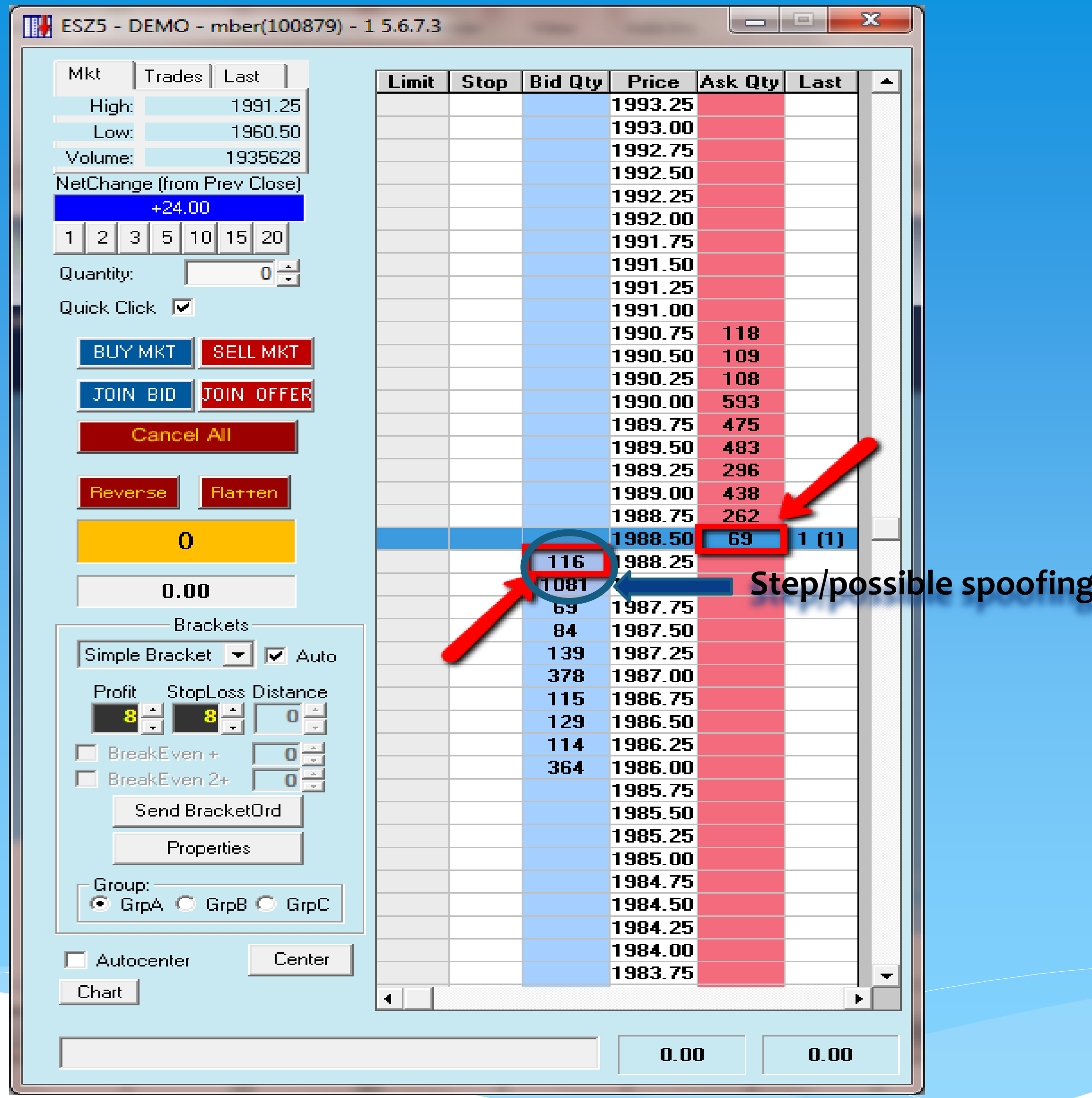
When you see an order whose size is much larger than the others be suspicious, especially if it's near the best bid or offer (see picture). This order in jargon is called "step" in the ladder and it could be an indication of possible spoofing. An "iceberg", on the other hand, is an order that when hit, continues to absorb trades without disappearing. That's due to the fact that the hidden quantity (underlying actual size) is much larger.



BEHIND THE CURTAIN

The Spoofer, generally a Prop firm or Institution using sophisticated HFT algos, will try to move prices in the desired direction by placing and quickly cancelling large orders. Another popular HFT activity is "layering" which is basically placing large bid and offers by spreading them at different market levels.
Another note worth mentioning is regarding ***Iceberg orders*** which are not illegal and are allowed by many professional trading platforms. Icebergs are large orders hidden behind a smaller quantity. They take the name from the natural ice formations because they allow the trader to hide his entire order size. As you can see, yet another way of covering the true price action.

THE FLIPPER

Sometimes, not often, the biggest players are not HFTs or Hedge Funds. This is the case of the famous Eurex trader Paul Rotter aka the Flipper. Rotter rise to fame arrived around the early 2000s when he was very successfully scalping massive volumes on Eurex bonds futures (Bobl, Schatz and Bund). Rumor has it that he was accounting for a large % of the total intraday Eurex volume, by trading an average of 100-200,000 lots a day.

The nickname the Flipper is derived from his technique which consisted in placing very large bids or offers, and attract traders in the desired direction only to then pull (cancel) the original order and flip his side, placing massive sizes in the opposite direction. Not everybody can create similar market action and manipulate the order book but if you start recognizing these patterns you can follow these manipulations and use them to your advantage. To do so you will need speed and advanced skills.

FOLLOWING THE SHARKS

Advanced scalping set up example

It's not the objective of this manual to provide advanced set ups but we believe it's worth it and interesting for aspiring scalpers to see what scalp- trading looks at the highest levels.

Let's say, you are watching the Bund, and the market is moving up and you see a fairly large bid at 15656 for 1000 lots .

BIDS	LAST	OFFERS
	15659	350
	15658	300
	15657	150
1000	15656	
550	15655	
200	15654	
320	15653	
450	15652	

FOLLOWING THE SHARKS

Advanced scalping set up

Then the 1000 disappears and, seconds later, a much smaller size trades at 56 (ex. 200 lots). The smaller size is represented by all those buyers (retail mostly) that got excited by the large bid and jumped in a little too soon… the market immediately cracks 1 tick and a large size offer shows at 56.

BIDS	LAST	OFFERS
	15659	650
	15658	600
	15657	450
	15656	1500
450	15655	
500	15654	
520	15653	
450	15652	

FOLLOWING THE SHARKS
Advanced scalping set up

Once you see this action, and you start getting the feeling the buyers are getting rolled over you can jump on board, waiting for an acceleration and the ultimate longs capitulation. When the buyers give up easily and the bids are thinning out, you know you have a good trade in your hands. It doesn't mean that it will last very long, therefore, as soon as you see consolidation, you may want to bail or tighten your risk.

BIDS	LAST	OFFERS
	15659	350
	15658	600
	15657	500
	15656	1000
	15655	1500
200	15654	
320	15653	
500	15652	

GETTING THE PROPER SET UP

We could spend hours talking about the ideal set up to successfully scalp. We are going to focus our attention on a few basic but important tips only:

1. **Equipment**
   a) You need a fast computer, with plenty or RAM, possibly not older than 2 years and dedicated to trading only – 2 Monitors - no Skype, no other software or platform other than what you are trading on.
   b) Hard wire connection, possibly cable or fiber.
2. **Platform**
   a. You want a fast, light, reliable platform with a good DOM. Infinity AT, of course, is a great starting point.
   b. 1 click entry is a must (absolutely no confirmation window or double click)
   c. Low or zero transaction fee or monthly costs
   d. Catastrophic kill switch (auto-liquidation), especially necessary for advanced scalping.

GETTING THE PROPER SET UP

1. **Intraday Margins**
   a. If you scalp you are not worried about holding anything overnight. You should focus on markets that can be traded with very small intraday margins so that you can afford multiple lots (try to stay away from brokers that don't offer at least 25% margin).
2. **Market**
   a) Focus on the most liquid markets such as ES, Bonds, Tnotes, Eurofx, Crude Oil. You can also trade Eurex, both bonds (Bund, Bobl and Schatz) and indices (Fesx and Fdax) are great and have lower costs (. Focus also on the relationship between commission and tick size (for ex. Tbonds have a big tick but low fees, the Mini Dow doesn't).
3. **Commissions and fees**
   1. Cost of business will be a key factor behind your success when you start trading large intraday volumes. Getting a super low commission will be hard, especially if you are just starting and don't have a big account. Try to get a commission below $2.50 per rt + fees. Once you regularly trade a large volume (200+ lots/day) you should look into membership options and negotiate with your broker lower commissions.

RISK MANAGEMENT

A successful scalping approach needs to be necessarily based on a solid risk management foundation and, generally speaking, on a positive **risk reward ratio**. For a scalping strategy, however, the average risk reward is usually not very large. The goal is to move a larger number of contracts, for a small amount of ticks. Again 3-5 ticks is a very standard target. The goal is to not get crushed while attempting to get those few ticks. A successful scalper and order flow reader will be able to identify good opportunities that will give him a very favorable ***win ratio***. It's not uncommon to have a high win ratio if you are able to spot the profitable price patterns. This will be your edge. The key for you will be to always have a stop loss and catastrophic exit and to keep trading costs to a minimum because of the large number of trades you will be involved in. Many times, when the trade doesn't develop as planned, you may just need to be ready to exit at b.e. or with 1 tick loss.

THE SCALPER'S EDGE

The edge for a local on the SP 500 floor was being able to enter the market 1 tick better than the so called "public". He/she could buy the bid before it became the bid and vice versa; without much sweat, he could make at least 1 tick; when you multiply it by 500 contracts it's a lot of money…

Your goal is to learn to spot on your screen similar price patterns and simply to jump on board to participate in that move… that break out - most of the time - will be a false break out but even if it's not, your job will be done after just taking a few ticks off the table. The key, once again, is to identify high probability set-ups and manage your risk effectively.

THE SCALPER'S EDGE

When you scalp, the idea is to spot **momentum accelerations**, at least as a beginner or intermediate trader. Even for longer day trades, we try to be in the direction of the current market wave. For Scalping, given the shorter duration of the trade, it's even more important because most of the times you will not be able to pick a top or a bottom to the tick. The pros are able to do better than that: they anticipate these momentum accelerations before they happen. Similarly to what used to happen on the floor of the CME when the big locals used to spot the big Goldman Sachs' or JP Morgan's orders ("paper") approaching the floor, a professional scalper uses his ability to read the order flow to her/his advantage. The edge is different but the idea is exactly the same. Professional scalpers don't usually buy or sell break outs. They use break outs to unload their positions. They anticipate those breaks by front-running the orders and liquidating at the extreme of the move. The really big players not only front- run but actually cause those moves.

SCALPER'S TRADING ARSENAL

Scalping strategies can be divided in 2 categories:

- **BASIC**
- **ADVANCED**

The basic set ups will need the **combined use of the DOM and the chart.** Professional scalpers, even those who don't move the market, are able to ignore almost completely the chart and focus exclusively on the DOM action. To get to that level you will need many hours of screen time.

The advanced approach will require deep understanding of order flow, and risk and trade management. There is not just one scalping method but, as far as we are concerned, advanced scalping is less about the entry price and much more about the management of the trade and its exit.

SCALPER'S TRADING ARSENAL

As a Scalper and as day trader in general, you will need to be familiar with 2 major concepts:

- **MARKET STRUCTURE**
- **ORDER FLOW**

We already briefly discussed order flow. Market Structure will help you primarily with identifying the trend, areas of support and resistance (swings and pivots) and chart patterns that could trigger a possible market entry (or re-entry with the flow).

Understanding market structure is key for any trader. For a scalper, especially, it represents his/her compass, providing him/her not only with a possible market direction but also with profit target areas.

SCALPER'S TRADING ARSENAL

As a first approach, we therefore recommend, to use the following simple set up:

- Open the **DOM of the market** you intend to trade on (focus on 1 market only to start)
- Open a **1 minute, a 5 minute and a 10 minute chart** (bars or candles)
- You can also open a **volume by price chart (VBP study in Sierra)** to show the vertical representation of volumes traded (on some software this study is an add on, on our Sierra package is included for free). You should have all this on the same monitor to better toggle back and forth.

A very helpful tool for the intermediate and advanced scalper is the **Number Bars**, critical for spotting volume shifts and price reversals.

SCALPER'S TRADING ARSENAL

Generally speaking, the basic entries will be mostly based on momentum set ups. The advanced entries will be focused more on a "fade" approach, where the set up requires more patience, a better market feel and a stronger risk management. This is important. A lot of amateurs fail because they are trying to use Fading strategies with small accounts or weak risk/trade management. On momentum trades you follow the current wave. With fade trades you need to be able to accurately work a specific area and wait for the market reaction (if you are not surgical about your entry and don't have the skill to know when to add, your risk of getting hurt with a fade approach is higher).

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SCALPER'S TRADING ARSENAL

If you are just starting with scalping, we recommend to simply focus on the most basic momentum set ups. These technique are very similar to our longer momentum trades with 2 major differences, aside from the smaller objective:

- When scalping, **you don't place a chart stop** or **wait for the bar to complete**; if the trade doesn't develop immediately, you exit quickly
- You want to **use the DOM bids, offers and volume** as confirmation of the move.

The following slides will show the dynamics of some basic set ups.

THE REVERSAL BAR

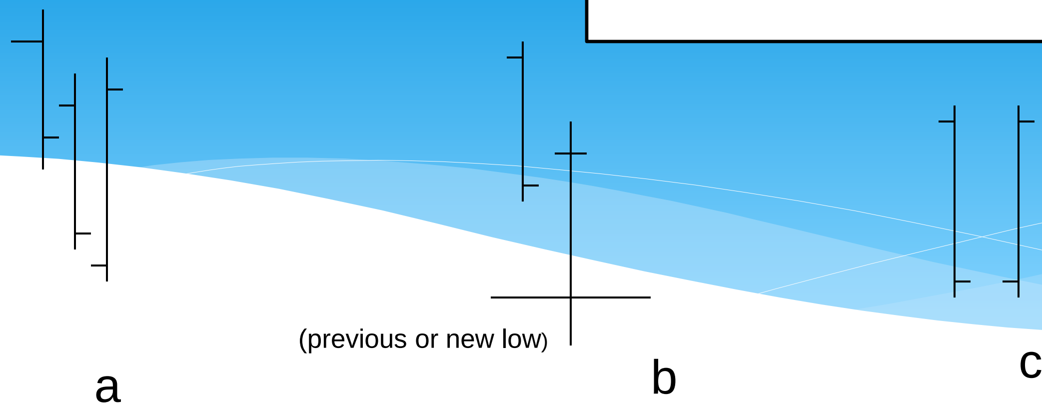
We believe momentum Scalping strategies tend to be easier to manage, if one approaches them as a simple binary outcome (break or fake).

In this regards, the **Reversal Bar (RB)** is key. The RB is a typical high momentum bar that anticipates a break in the opposite direction.

La RB is simply a bar that either opens on the lows and closes near the highs (bullish) or that opens on the highs and closes near the lows (bearish).

In the slide that follows some different types of RB.

REVERSAL BAR EXAMPLES



* The shape of the reversing bars will give us more details:

The reversal type a) is the most common. It is interesting only if accompanied by extraordinary - large volumes.

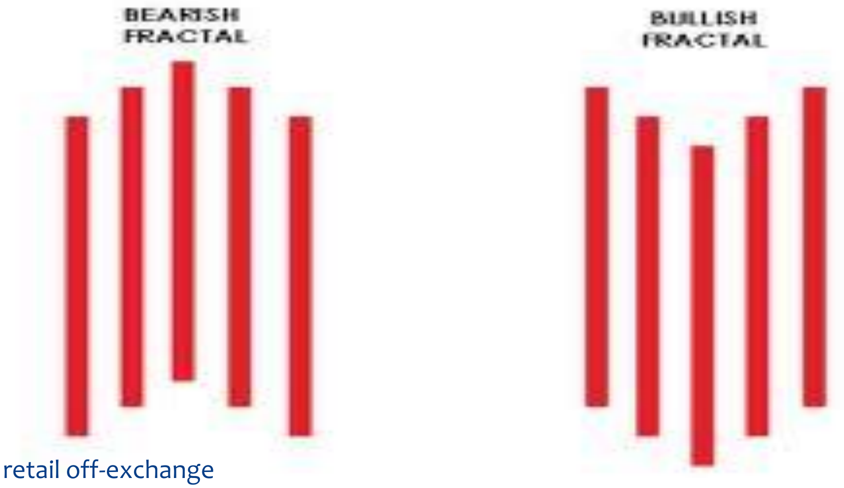
The b) type (also known as BDBs, or Bullish hammers, or hanging men) they are quite meaningful especially if occurring after the test of an important low/high and with volumes.

The c) type are a peculiar type. Normally the low (high) is tested twice. The two bars have the same bottom/top (low or high).

VOLUME FOLLOW-THROUGH on the DOM will need to be present to tell us this is just not a fake movement or a “trap”.

MARKET STRUCTURE
What is a fractal?

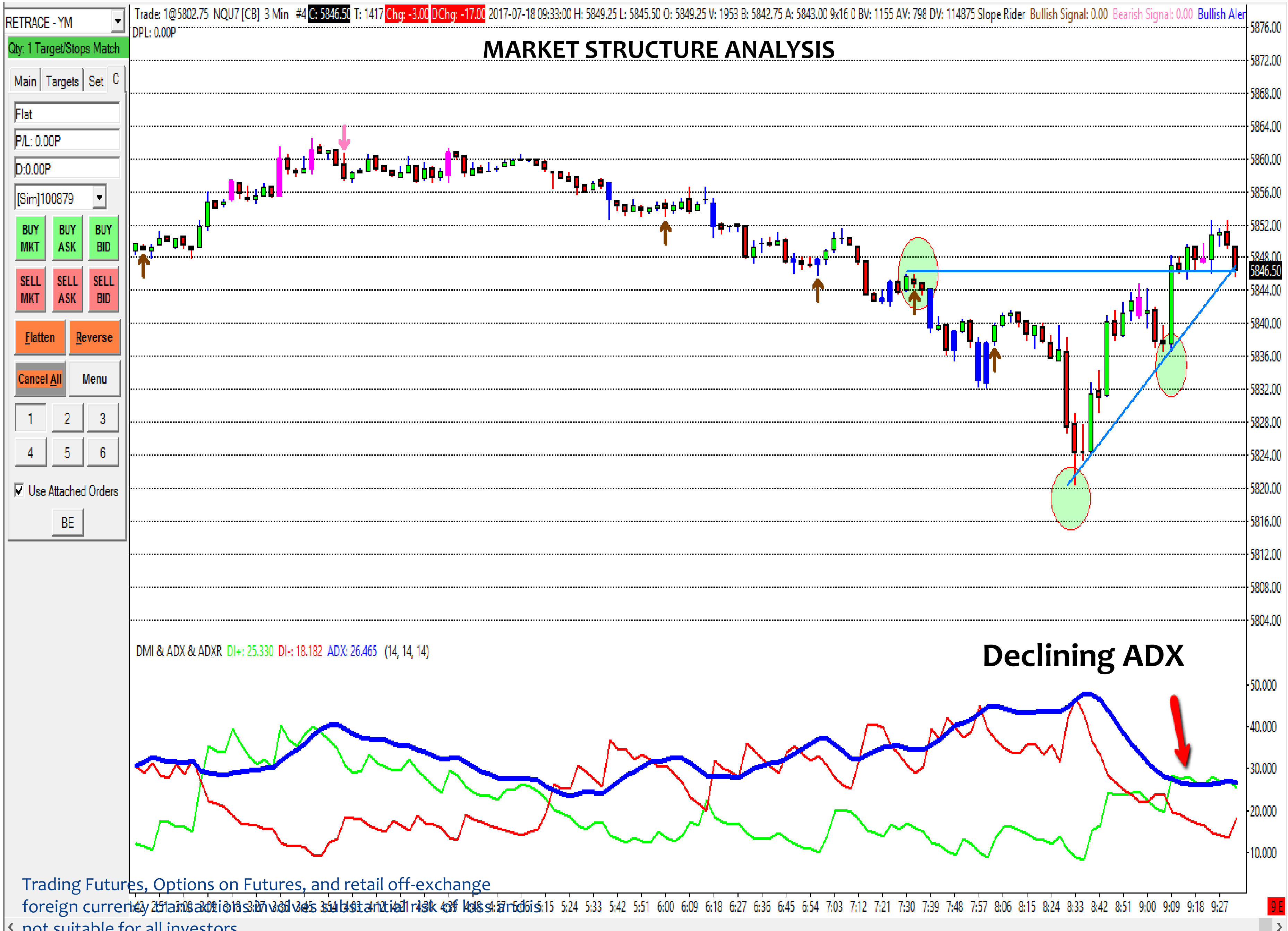
- A Fractal is a recognizable geometrical formation that tends to repeat in the market on different time frames (Bill Williams, renown trader and author, uses various techniques based on fractal break outs).
- This forms a pattern, a recognizable imagine that can be spotted as support and resistance points on the charts.
- Specifically, in the case of a break out buy, is a bar with a **new high** proceeded by and followed by two bars with lower highs (vice versa for a sell fractal set up).



MARKET STRUCTURE AND REGRESSION TO MEAN

Professional day traders are aware of the fact that very often, in absence of real news and high volume, the market will tend to converge to a mean, or a point of balance. These areas of balance can be spotted on a charts by understanding **market structure** and identifying fractals and swing points. In absence of **news driven volume**, price will more often than not regress to a mean and revisit a neutral area of prices.

By being able to spot these areas and divergences, we are able to take advantage of reversals of prices and use those swing points, not only to understand the new market direction but also the targets of our trades.



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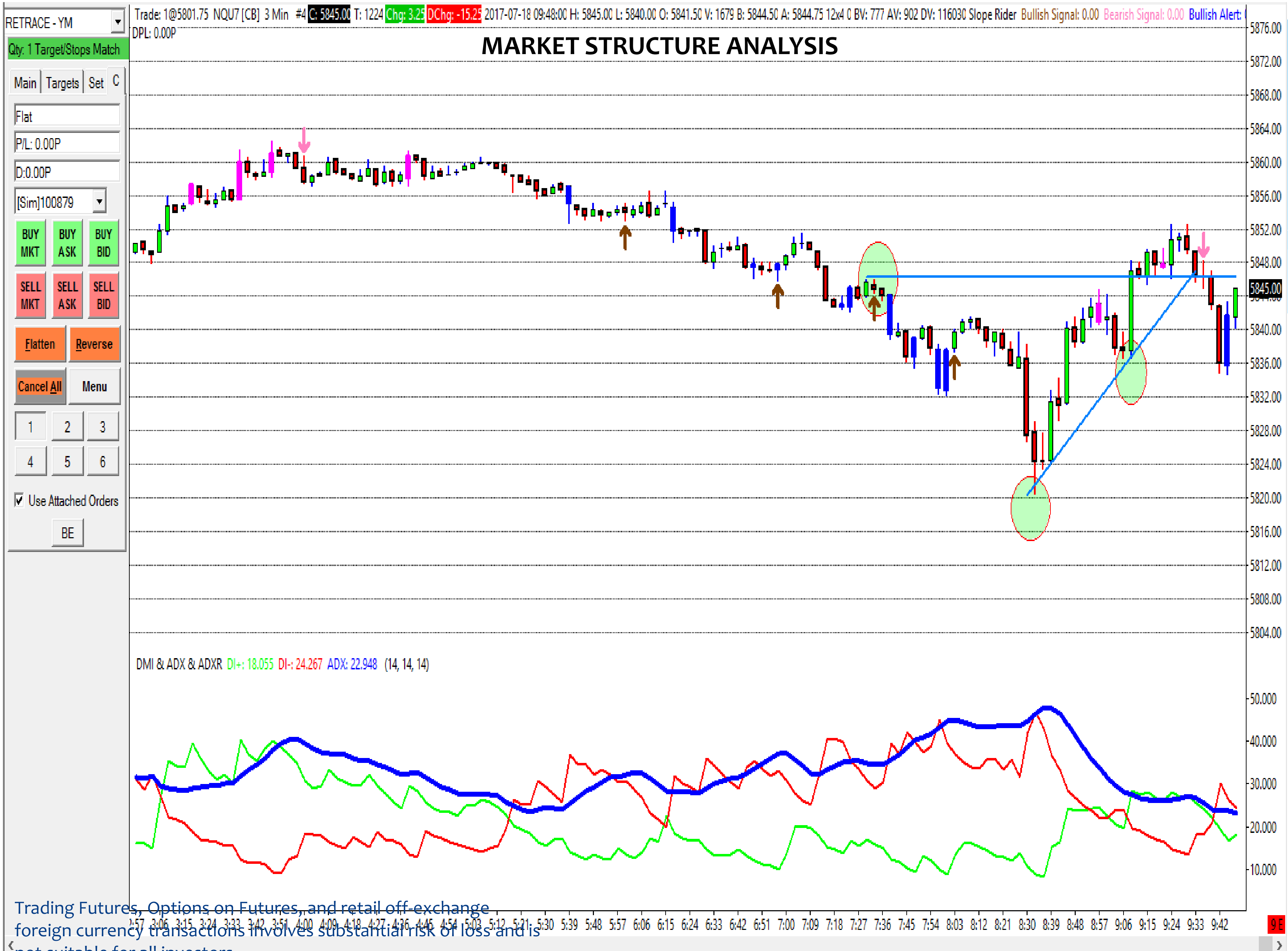
MARKET STRUCTURE ANALYSIS



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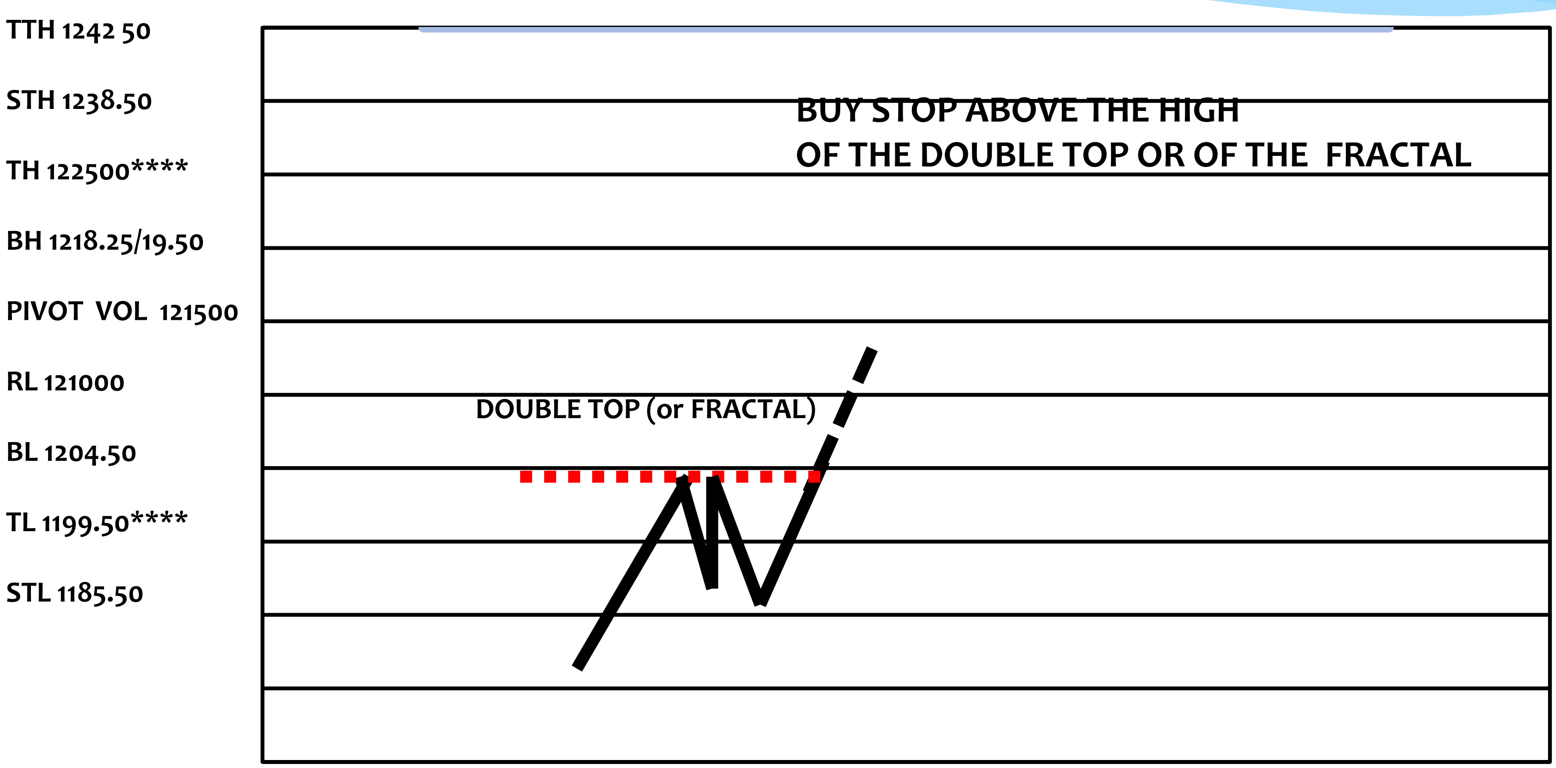
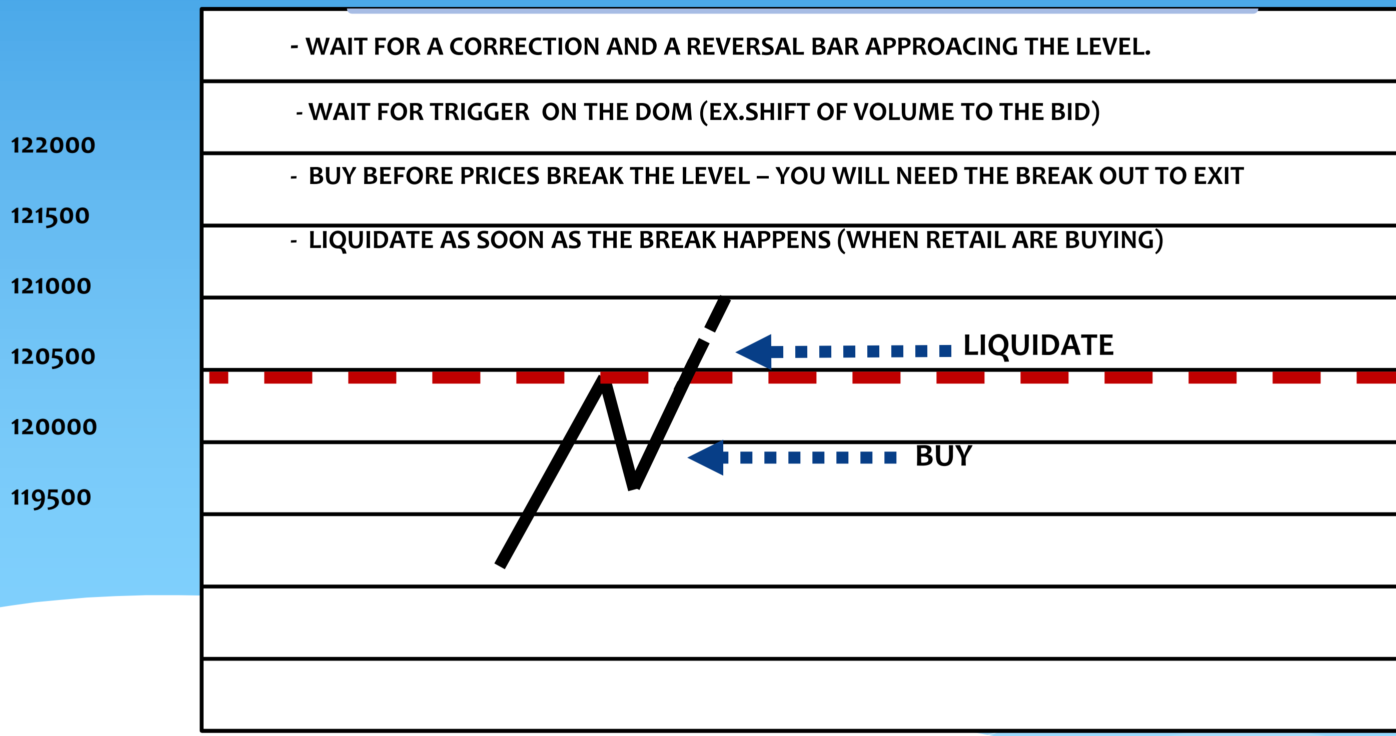
SCALPING BASIC STRATEGY: SIMPLE BREAKOUT (EX. B/O OF DOUBLE TOP)

EMINI SP (OR RESISTANCE/ SUPPORT)



THE "FORERUNNER"

Classic momentum technique based on anticipation. Its goal is to anticipate the big price movement before it happens. On the 10 minute chart look for a critical break out area or pivot that will soon be challenged.



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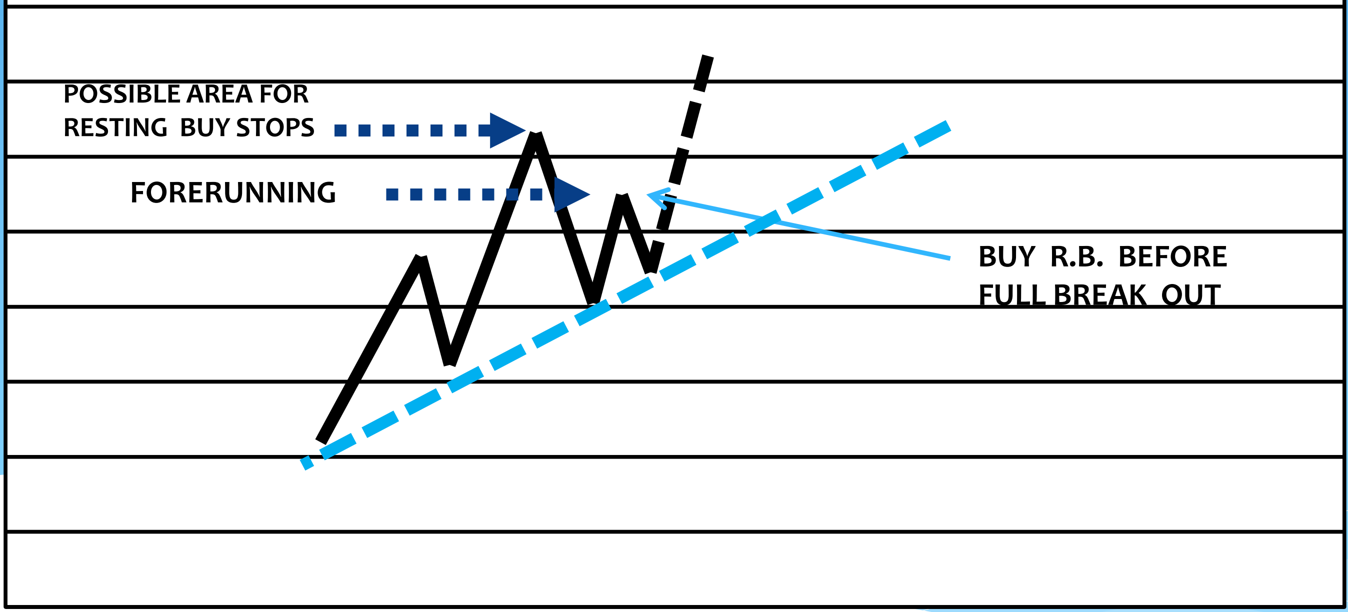
THE “FORERUNNER”

A variation of the same technique. This set up anticipates a break-out in the direction of a strong trend but after a correction.

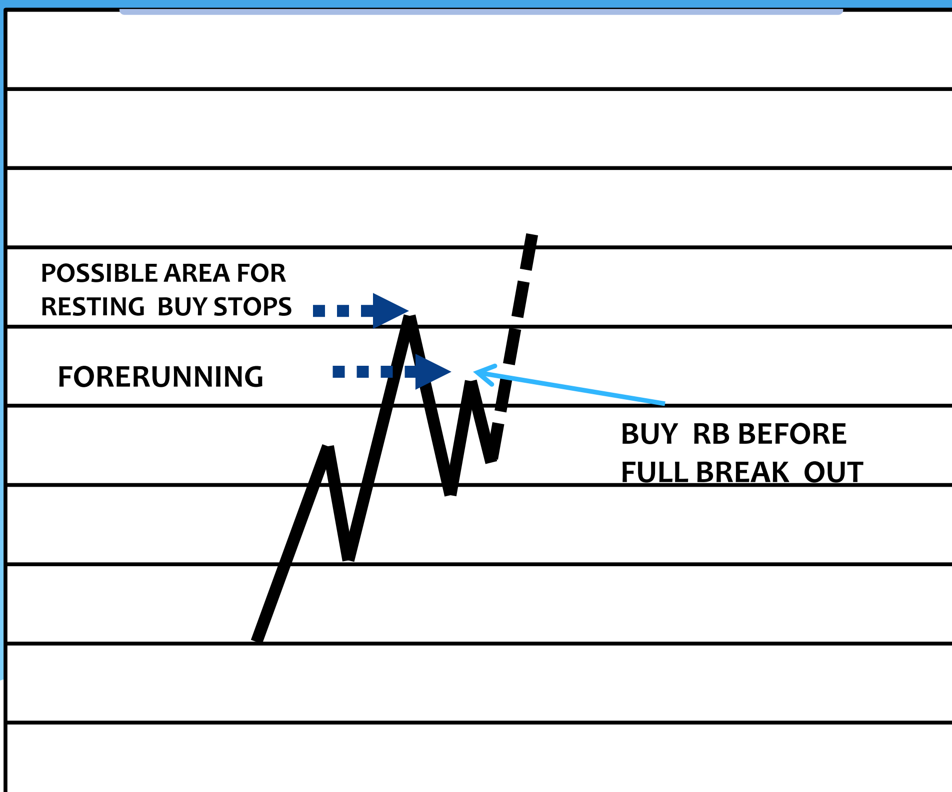
This strategy tries to anticipate an explosive move in one direction by entering before the public enters. The target is the break out area where other traders (retail or Swing traders) are entering long. Once again, the target should only be a few ticks.



FOLLOWING THE SHARKS

Advanced scalping set up example

Right before the break of the R.B.

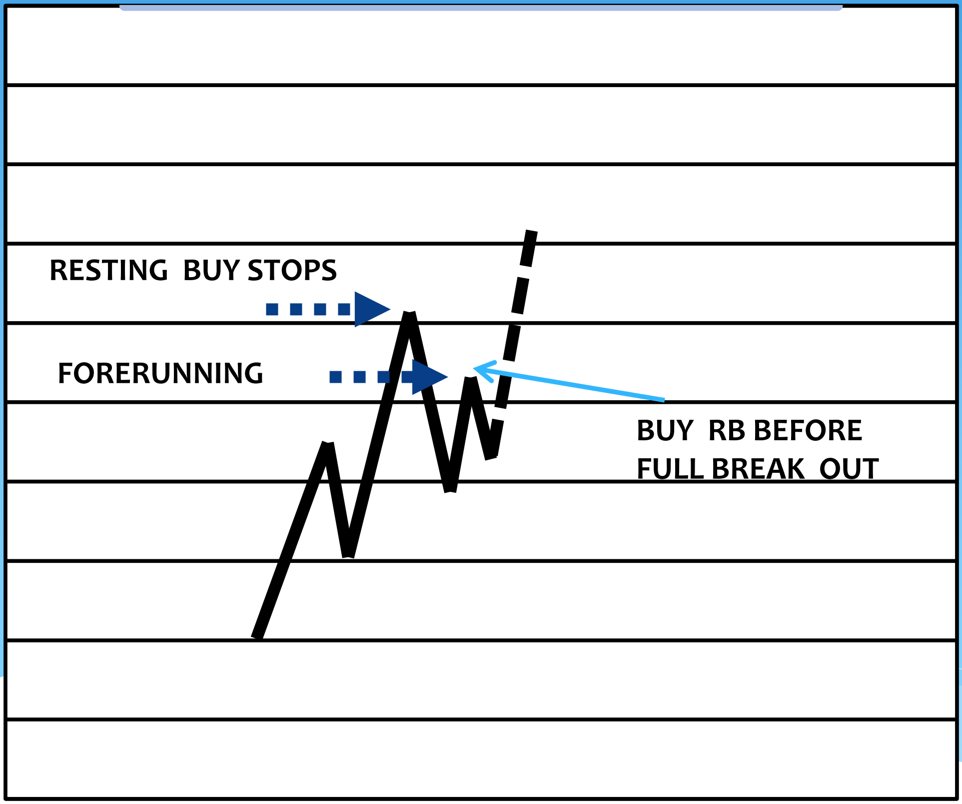


BIDS	LAST	OFFERS
	15659	150
	15658	200
	15657	190
170	15656	
250	15655	
200	15654	
120	15653	
250	15652	

FOLLOWING THE SHARKS

Advanced scalping set up example

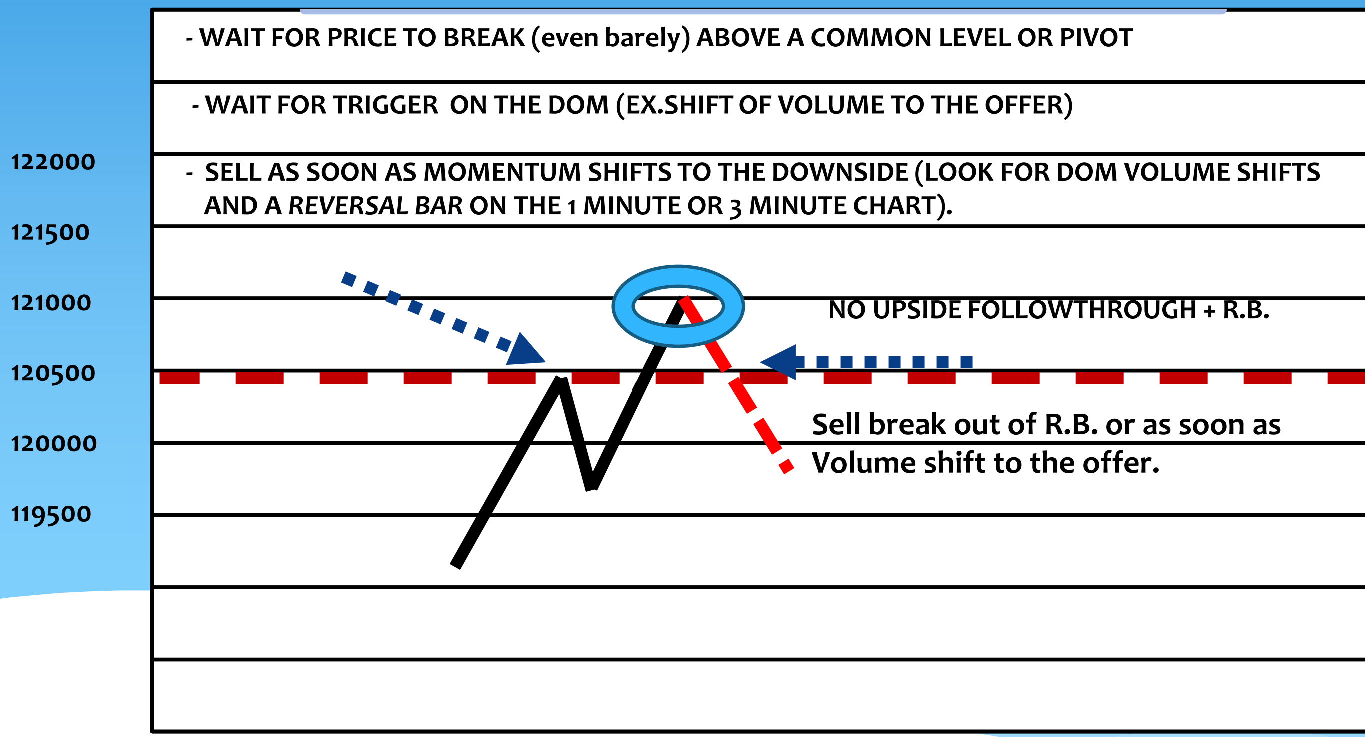
After…



BIDS	LAST	OFFERS
	15659	150
	15658	30
450	15657	
350	15656	
250	15655	
200	15654	
120	15653	
250	15652	

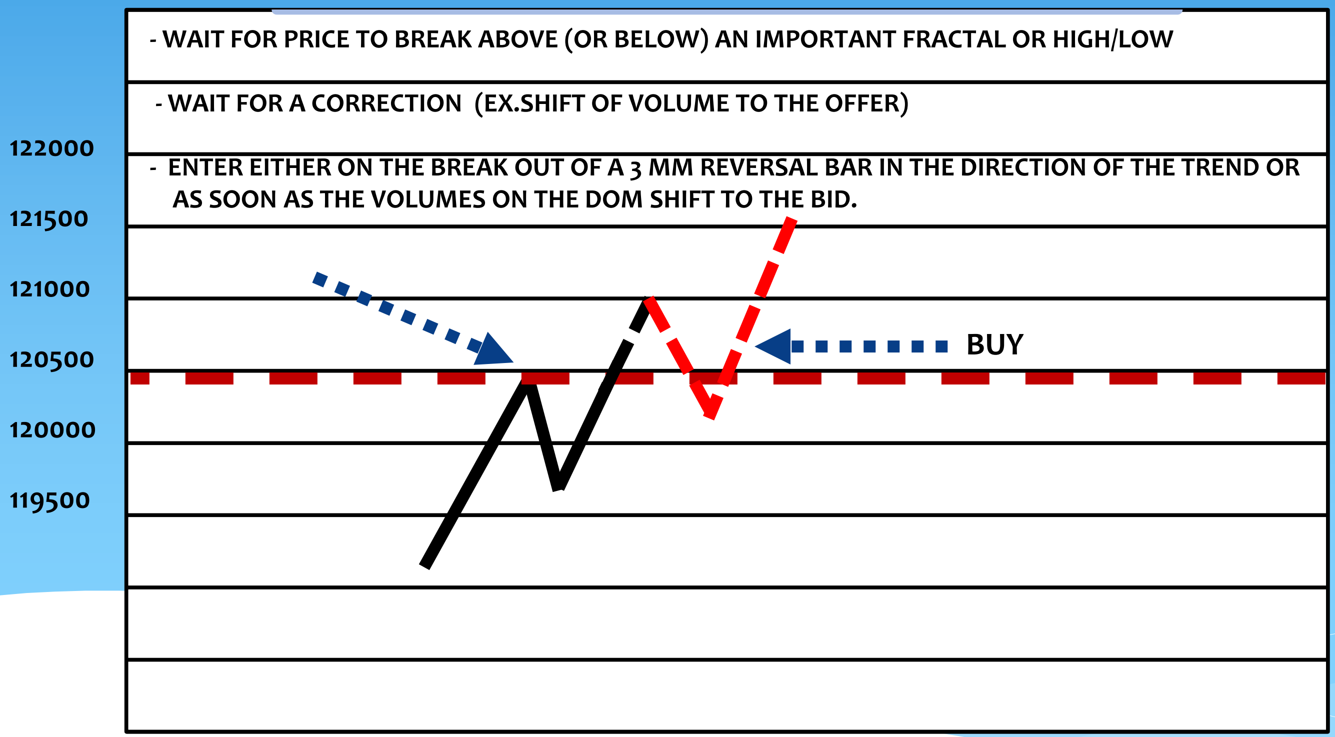
THE "REVERSAL" SET UP

When everybody is looking for a break out, the **big players are looking for a fake out…** If you want to be a scalper, you should too. This set up is betting on a reversal right after a break out of a high/low or a common pivot.

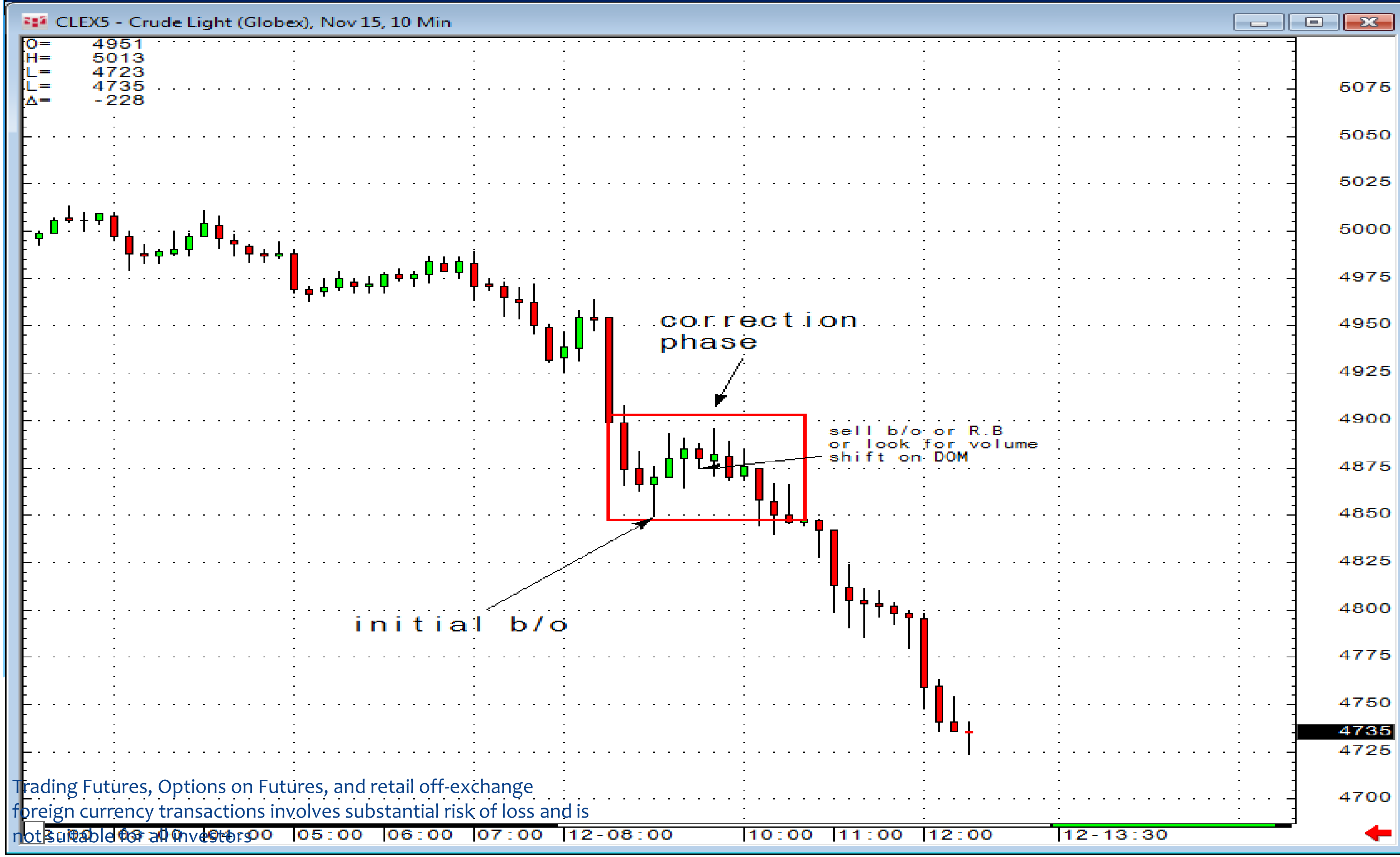


"BREAK & FAKE" (ADVANCED)

This technique is advanced, and requires the monitoring of a larger time frame (ex. 30 or 60 mm). It's based on the break out of an important fractal (say on the 30 mm) but it waits for a subsequent failure and correction of that move, and then for the trend to resume in the direction of the break out.



“BREAK & FAKE”



CLEX5 - Crude Light (Globex), Nov 15, 10 Min
O= 4951
H= 5013
L= 4723
L= 4735
Δ= -228
correction phase
sell b/o or R.B
or look for volume
shift on DOM
initial b/o
5075
5050
5025
5000
4975
4950
4925
4900
4875
4850
4825
4800
4775
4750
4735
4725
4700
05:00
06:00
07:00
12-08:00
10:00
11:00
12:00
12-13:30

TRADE MANAGEMENT
SINGLE LOT

If you are a beginner scalper, you should first spend sometime testing these set ups and, when you are ready to jump in the water, you should start trading only 1 lot. When trading 1 lot, your trade management should be fairly straightforward:

- **Shoot for a risk reward of 1:1**
- **Establish your target first**, and from there your risk (don't risk more than 5-6 ticks)
- Always place a **catastrophic stop** equal to your risk + a few tick buffer (this will allow you flexibility to move around but not get crushed if you get a violent move against your position).
- Exit when:
  - Your target is reached
  - Your risk is reached
  - The market is not reacting as fast as expected.

TRADE MANAGEMENT

MULTIPLE LOTS

As soon as you show some consistency with 1 lot, and you are starting to get familiar with order flow dynamics, you can quickly ramp up to 2 or 3 lots.
When trading 2 or more contracts you will have a much greater flexibility and you can start hitting some runners.

- Shoot for a risk reward of at least 1:1.5 (total average)
- Cover your first lot at an amount of ticks close to your risk (equal or 90%).
- Move your catastrophic stop close to break even to reduce risk
- Let your second and third lot run a bit longer (if you can trade 3 lots, the third should be your runner – if you trade only 2, the second should be liquidated either at 2 times the risk or close. Don't get greedy with the second lot, more often than not you will get trapped in the market noise and get a correction against you).

THE SCALPER’S MENTALITY

If you are committed to become a professional scalper, it’s crucial that you start thinking and trading like one.

2 things you want to avoid when you scalp:

- Catch a falling knife
- Staying in a trade too long waiting for a reversal

As a beginner scalper, try to favor momentum trades. Don’t try to be the cool guy/gal who picks tops and bottoms. If you are a true scalper you cannot afford to stand the heat of even a few ticks’ move against you. By the same token, if the move you were looking for is not happening and the volumes are just not confirming your original idea, you’d better jump off the train. You are better off losing 2 ticks on 5 wrong trades than 50 ticks on 1 stubborn one. This is especially true for anybody at the beginning stage who does not have the leverage to move a market in their favor.

SUMMARY OF KEY POINTS

1. Get the proper set up (low costs, right platform, good pc and connection).
2. Plan your trading arsenal (start with some basic set ups).
3. Spend a few continuous sessions, even a month, in front of the DOM, simply getting familiar.
4. Spend at least 1 full week on simulator.
5. Study Market Structure by looking at critical weekly, daily and hourly levels.
6. Learn as much as possible about the markets you plan to trade.
7. Select 2/3 markets to focus on (consider liquidity, cost and tick value parameters).
8. Calculate your risk for the day ahead of time, and always have a catastrophic stop.
9. Start with 1-2 lots max, increase leverage only when consistently profitable.

FINAL THOUGHTS

As we stressed several times already, scalping requires a special feel and read of the market which will be acquired with hours spent in front of the monitor. The only advantage is that your initial risk, as a beginner, should only be a few ticks. Your objective is to get to a level where you can trade 10-20 lots at a clip. Once you get there remember to ask your broker for a commission break since cost of business will start getting out of hand quickly.

Stay away from big economic reports (stay flat between 2 minutes before and 2 minutes after). You can jump in right at the release time in the direction of the move. More advanced set ups involve entering right before and following a particular management method that is not recommended for beginner or intermediate traders. YM and NQ are 2 excellent markets to start testing the water, not ideal as a final trading vehicles as they lack the volumes of the ES, FESX or T-notes (also small tick).

SCALPING FOR PROS

ONCE YOU ARE FAMILIAR WITH THE BASIC CONCEPTS, DEEPLY UNDERSTAND MARKET DYNAMICS, HAVE SPECIALIZED IN 1 SPECIFIC MARKET AND HAVE STARTED TO GENERATE A DECENT AND STEADY CASH FLOW ON YOUR LIVE ACCOUNT (NOT JUST ON DEMO), YOU CAN START THINKING ABOUT STEPPING UP YOUR TRADING IN 3 WAYS:

A) ADOPT A MORE ADVANCED TRADE MANAGEMENT METHOD
B) USE ADDITIONAL, MORE COMPLEX ENTRY SET UPS
C) USING A BIGGER CAPITAL AND/OR LEVERAGE TO BETTER WITHSTAND MARKET NOISE AND NEGATIVE CASH FLUCTUATIONS.

GETTING STARTED

To begin your professional scalping journey we suggest you start spending a few sessions in front of a simulator or a demo. Pick 2-3 markets you want to focus on (following the liquidity parameters we discussed earlier) and begin getting familiar with their contract specifications (tick size, hours, etc.), average volume sizes and behavior. Don't get tempted to trade live until you have a grasp of the market you are planning to trade.

Some of the institutional platforms out there carry a hefty monthly fee and therefore require a large account balance (also the basic version does not offer a flexible auto-liquidation feature).

To get started you should simply request a demo of Infinity AT, which is a very solid stepping stone: click here InfinityAT demo (http://www.infinityfutures.com/practiceaccount.aspx?ref=mber).

Good Trading!
Marco Bertuglia